# INTRODUCTION TO MONETARY AND FISCAL POLICY

## Learning Outcome

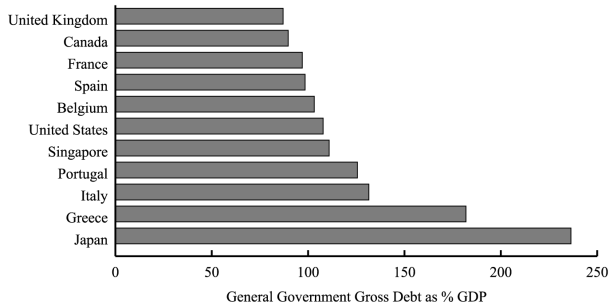
- compare monetary and fiscal policy

The economic decisions of households can have a significant impact on an economy. For example, a decision on the part of households to consume more and to save less can lead to an increase in employment, investment, and ultimately profits. Equally, the investment decisions made by corporations can have an important impact on the real economy and on corporate profits. But individual corporations can rarely affect large economies on their own; the decisions of a single household concerning consumption will have a negligible impact on the wider economy.

By contrast, the decisions made by governments can have an enormous impact on even the largest and most developed of economies for two main reasons. First, the public sectors of most developed economies normally employ a significant proportion of the population, and they usually are responsible for a significant proportion of spending in an economy. Second, governments are also the largest borrowers in world debt markets. Exhibit 1 gives some idea of the scale of government borrowing and spending.

### Scale of Government Borrowing and Spending

Panel A. Central Government Debt to GDP, 2017

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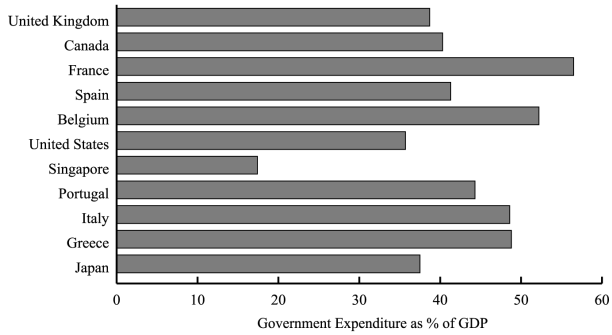
Panel B. Public Sector Spending to GDP, 2017

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*Source*: IMF, World Economic Outlook Database, April 2018.

Government policy is ultimately expressed through its borrowing and spending activities. In this reading, we identify and discuss two types of government policy that can affect the macroeconomy and financial markets: monetary policy and fiscal policy.

Monetary policy refers to central bank activities that are directed toward influencing the quantity of money and credit in an economy. Central banks can implement monetary policy almost completely independent of government interference and influence at one end of the scale or may simply act as the agent of the government at the other end of the scale.

By contrast, fiscal policy refers to the government's decisions about taxation and spending. Both monetary and fiscal policies are used to regulate economic activity over time. They can be used to accelerate growth when an economy starts to slow or to moderate growth and activity when an economy starts to overheat. In addition, fiscal policy can be used to redistribute income and wealth.

The overarching goal of both monetary and fiscal policy is normally the creation of an economic environment in which growth is stable and positive and inflation is stable and low. Crucially, the aim is to steer the

households can feel secure in their consumption and saving decisions, while corporations can concentrate on their investment decisions, on making their regular coupon payments to their bond holders, and on making profits for their shareholders.

The challenges to achieving this overarching goal are many. Economies frequently are buffeted by shocks (such as oil price jumps), and some economists believe that natural cycles in the economy also exist. Moreover, we can find plenty of examples from history in which government policies—either monetary, fiscal, or both—have exacerbated an economic expansion that eventually led to damaging consequences for the real economy, for financial markets, and for investors.

## Question Set

**1.** Which of the following statements *best* describes monetary policy? Monetary policy:

**A.** involves the setting of medium-term targets for broad money aggregates.
**B.** involves the manipulation by a central bank of the government's budget deficit.
**C.** seeks to influence the macroeconomy by influencing the quantity of money and credit in the economy.

Hide Solution

**Solution:**

C is correct, as monetary policy involves central bank activities directed toward influencing the quantity of money and credit. Choice A is incorrect because, although the setting of targets for monetary aggregates is a possible *tool* of monetary policy, monetary policy itself is concerned with influencing the overall, or macro, economy.

**2.** Which of the following statements *best* describes fiscal policy? Fiscal policy:

**A.** is used by governments to redistribute wealth and incomes.
**B.** is the attempt by governments to balance their budgets from one year to the next.
**C.** involves the use of government spending and taxation to influence economy activity.

Hide Solution

**Solution:**

C is correct. Note that governments may wish to use fiscal policy to redistribute income and balance their budgets, but the overriding goal of fiscal policy is usually to influence a broader range of economic activity.

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